UNAUDITED RESULTS FOR THE SIX MONTHS ENDED 30 JUNE 2025

The Directors of British American Tobacco Kenya plc (the Company) announce the Company's unaudited results for the six months ended 30 June 2025 as shown below:

Gross revenue (KShs)	Total cost of operations (KShs)	Profit before tax (KShs)	Cash from operations (KShs)	Interim dividend (KShs per share)
18.5 bn	7.5 bn	4.3 bn	3.6 bn	10.00

Condensed Statement of Profit or Loss and Other Comprehensive Income for the six months ended 30 June

	2025 KShs' m	2024 KShs' m
Gross revenue	**18,487**	**19,641**
Excise Duty and Value Added Tax (VAT)	(6,755)	(7,925)
Net revenue	**11,732**	**11,716**
Total cost of operations	(7,507)	(7,944)
Operating profit	**4,225**	**3,772**
Finance income / (cost)	97	(720)
Profit before tax	**4,322**	**3,052**
Income tax expense	(1,339)	(916)
Profit after tax	**2,983**	**2,136**
Other comprehensive income	-	-
Total comprehensive income	**2,983**	**2,136**
Interim dividend	1,000	500
Basic and diluted earnings per share (KShs)	**29.83**	**21.36**

Condensed Statement of Financial Position as at

	30 Jun 25 KShs' m	31 Dec 2024 KShs' m
Capital and reserves		
Share capital	1,000	1,000
Revaluation surplus	2,661	2,661
Retained earnings	11,104	12,072
Shareholders' funds	**14,765**	**15,733**
Non-current liabilities	1,944	1,896
	16,709	**17,629**
Assets		
Non-current assets	**9,739**	**10,061**
Working capital		
Current assets	13,315	13,593
Current liabilities	(6,345)	(6,025)
Net working capital	**6,970**	**7,568**
	16,709	**17,629**

Condensed Cash Flow Statement for the six months ended 30 June

	2025 KShs' m	2024 KShs' m
Cash generated from operations	3,629	3,803
Net interest received	104	30
Tax paid	(1,082)	(1,563)
Net cash from operating activities	**2,651**	**2,270**
Net cash (used in) / received from investing activities	(17)	458
Net cash used in financing activities	(3,970)	(4,492)
Movement in cash & cash equivalents	**(1,336)**	**(1,764)**
At the start of the period	5,390	1,821
At the end of the period	**4,054**	**57**

Condensed Statement of Changes in Equity

	Share capital KShs' m	Revaluation surplus KShs' m	Retained earnings KShs' m	Total KShs' m
At 1 January 2024	**1,000**	**2,762**	**12,488**	**16,250**
Comprehensive income	-	-	2,136	2,136
Dividend	-	-	(3,942)	(3,942)
At 30 June 2024	**1,000**	**2,762**	**10,682**	**14,444**
At 1 January 2025	**1,000**	**2,661**	**12,072**	**15,733**
Comprehensive income	-	-	2,984	2,984
Dividend	-	-	(3,952)	(3,952)
At 30 June 2025	**1,000**	**2,661**	**11,104**	**14,765**

Operating environment

The Company demonstrated resilience in a tough macro-economic environment across our export and domestic markets, delivering robust underlying performance.

Our export markets faced considerable headwinds, including adverse weather conditions, geopolitical tensions and currency devaluation. Despite these challenges, export sales volume was marginally higher, reflecting the benefit of favourable geographical mix. However, reported export revenues were adversely impacted by a lower transactional exchange rate between the Kenya Shilling and United States Dollar.

In the domestic market, constrained consumer purchasing power drove downtrading to lower priced brands, reduced consumption and contributed to a surge in illicit trade. Illicit trade in tax-evaded cigarettes now accounts for an estimated 37% of the market (according to third-party research). This illicit activity not only undermines industry revenues but also deprives the Government of approximately KShs 9 billion annually in taxes. The Government has made efforts to combat illicit trade. However, enhanced enforcement action and collaboration of all stakeholders is required to effectively curb the menace, bearing in mind the quantum of the challenge.

In June 2025, we resumed sale of our modern oral nicotine pouches. We continue to engage transparently and contribute to national dialogue to facilitate evidence-based regulation that is reflective of the reduced risk* profile of this product category.

Financial highlights

- Net revenue remained stable at KShs 11.7 billion driven by the benefit of strategic pricing in the domestic market, offset by the impact of a lower transactional exchange rate on export revenues.
- Total cost of operations declined by 6% to KShs 7.5 billion reflecting prudent cost management, reduced hard currency input costs on account of lower USD /KShs exchange rates and the benefit of productivity savings initiatives.
- Operating profit increased by 12% to KShs 4.2 billion, in line with stable net revenue and lower total cost of operations.
- Interest income of KShs 0.1 billion was earned, representing a significant improvement of 114% compared to an exchange loss of KShs 0.7 billion in the prior period. This is attributable to the stability of the Kenya Shilling against the US Dollar during the period.
- Profit before tax increased by 42% to KShs 4.3 billion driven by lower finance costs and improved operational efficiency.
- In line with our commitment to deliver sustained shareholder returns and underscoring solid underlying business performance, interim dividend has increased by 100% to KShs 10.00 per share (2024: KShs 5.00).

Looking forward

We are confident in the resilience of our underlying business, proven strategy and ability to sustainably deliver shareholder value. We remain committed to our corporate purpose to create A Better Tomorrow™ by building A Smokeless World through offering alternative innovative products, including modern oral nicotine pouches.

Dividend

The Board of Directors has approved an interim dividend in respect of the year ending 31 December 2025 of KShs 10.00 per share. The interim dividend, which is subject to withholding tax, will be paid on or about 26 September 2025 to shareholders on the register as at the close of business on 29 August 2025.

* Based on the weight of evidence and assuming a complete switch from cigarette smoking. These products are not risk free and are addictive.

Nairobi
24 July 2025

By Order of the Board
Waeni Ngea (Ms)
Company Secretary